

1.7 LIMITATIONS OF NATIONAL INCOME STATISTICS

MARKING SCHEME

1993/CE/II/41
C

1999/CE/II/30
C

2002/CE/II/27
D (69%)

2006/CE/II/50
A (38%)

2010/CE/II/29
C (65%)

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1991/CE/I/3

(a) (i) GNP is the total incomes earned by the residents of a country over a period of time (usually 1 year). (4)

(ii) $\$2 \times (6 \times 10) + \$1 \times (12 \times 10)$ (2)
= \$240 (2)

- (b) - same GNP but larger population size will lead to smaller per capita GNP
- relative price level consideration: same nominal GNP but higher price level will lead to lower standard of living
- same per capita GNP but more uneven income distributions may mean lower general living standard
- different GNP composition may mean a higher consumption expenditure in one country (i.e. higher general living standard) but a higher investment expenditure or a higher military expenditure in another (i.e. lower general living standard)
- same GNP but a more serious problem of pollution, traffic congestion, etc. will lead to a lower living standard
- same GNP but more leisure hours will lead to a higher living standard
- same GNP but larger amount of non-market / unreported / illegal goods and services will lead to a higher living standard (3@, max: 9)

[Mark the **FIRST THREE** points only.]

1993/CE/I/4(a)(ii)

- per capita real GDP has increased during the decade
- better quality of goods ($\because$ technological advancement)
- more varieties of goods ($\because$ technological advancement)
- more imports of consumer goods
- better environment protection
- less working hours

(2@, max: 4)

[Mark the **FIRST TWO** points only.]

1994/CE/II/11(d)

In Country A with a lower GDP,

- its per capita GDP may be higher ($\because$ its has a much smaller population) and more likely to live a better life there
- its real GDP may be higher ($\because$ it has a much lower price level)
- its income may be more evenly distributed $\Rightarrow$ more attractive to the very low income people of Country B
- its GDP may have a very different composition e.g. a much larger component of consumption expenditure $\Rightarrow$ more attractive to people who prefer to enjoy life immediately

(3@, max: 6)

[Mark the **FIRST TWO** points only.]

1996/CE/I/10(c)

This is because we do not know:

- the population size / per capita income of both countries.
(If B's population size is three times, say, as that of A, then in general B's living standard is not higher than A.)
 - the income distribution of both countries.
(If B's income is highly unevenly distributed but A's is not, then we cannot conclude that.)
 - other social costs of both countries.
(e.g. If B has a higher crime rate / more serious social instability / etc., then B's living standard may not be generally higher than A.)
 - other social benefits of both countries.
(e.g. If B has less social benefits / less leisure hours / etc., then B's living standard may not be generally higher than A.)
 - what other goods besides rice and clothing these two countries have.
(e.g. If B has less other goods, then the conclusion may be wrong.)
- (2@, max: 6)
- [Mark the **FIRST THREE** points only.]

2005/CE/I/6

- Income distribution: If income is unevenly distributed, the living standard of ordinary people will be overestimated.
 - Composition of output: If a large proportion of total output consists of capital goods, national defense, etc., the living standard will be overestimated.
 - Undesirable effects of production: The problems of pollution or traffic congestion would lower the living standard. Therefore, the living standard would be overestimated without such information.
 - Amount of leisure: Leisure would raise the living standard. Therefore, the living standard would be underestimated without such information.
 - Unreported production activities: The consumption of non-marketed goods / the existence of unreported transactions would improve the living standard. Therefore, the living standard would be underestimated without such information.
- (2@, max: 4)
- [Mark the **FIRST TWO** points only.]

2007/CE/I/5

- Difference in income distribution: Income is less evenly distributed in country X.
 - Difference in the composition of output: In country X, a larger proportion of total output consists of capital goods and national defense.
 - Different undesirable effects of production: There are more problems of pollution or traffic congestion in country X.
 - Different amount of leisure: The people of country X enjoy less leisure.
 - Different amount of non-marketed / unreported production activities: There are fewer non-marketed / unreported goods in country X.
- (2@, max: 4)
- [Mark the **FIRST TWO** points only.]

2009/CE/I/7(b)

(For each of the following points, the case of an increase in the per capita real GDP is used for illustration purposes.)

- Income distribution: If income is unevenly distributed, the corresponding change in the living standard of ordinary people will be overestimated.
 - Composition of output: If a large proportion of total output consists of capital goods, national defense, etc, the corresponding change in the general living standard will be overestimated.
 - Undesirable effects of production: The problems of pollution or traffic congestion would lower the living standard. Therefore, the corresponding change in the general living standard would be overestimated without such information.
 - Amount of leisure: Leisure would raise the living standard. Therefore, the corresponding change in the general living standard would be underestimated without such information.
 - Unreported production activities: The consumption of non-marketed goods / the existence of unreported transactions would improve the living standard. Therefore, the corresponding change in the general living standard would be underestimated without such information.
- (2@, max: 4)
- [Mark the **FIRST TWO** points only.]

2022/DSE/II/3a

(a) Reasons:

- Bigger output may generate (as by-product) more pollution.
- Bigger output may require longer work hours, hence less leisure time for the workers.
- Bigger nominal output may be due to higher inflation without necessarily growth in real output/income.
- Any other relevant point.

} @1
Max:2

[Mark the FIRST TWO points only.]